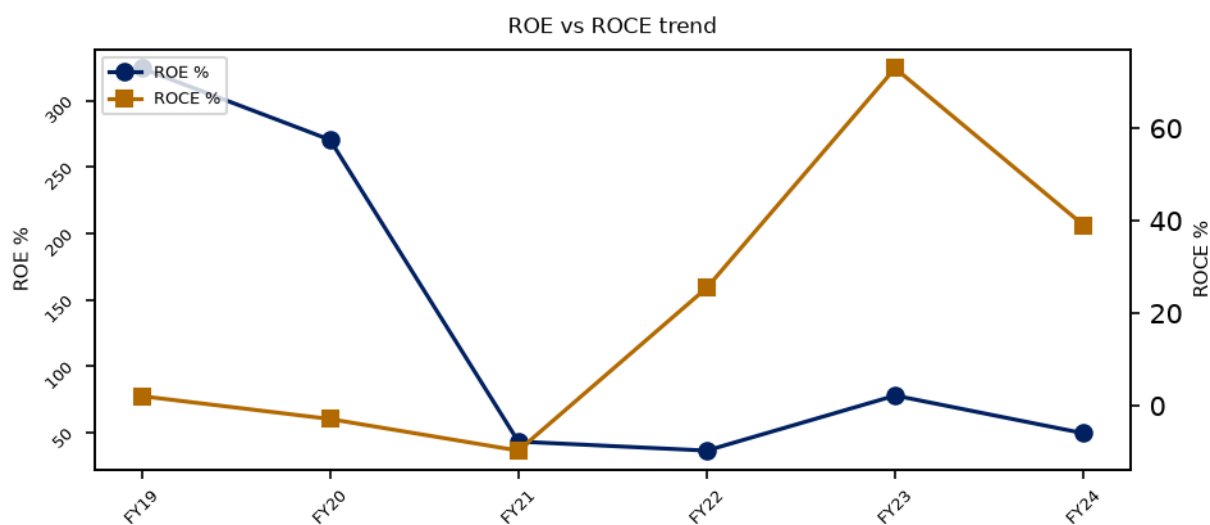
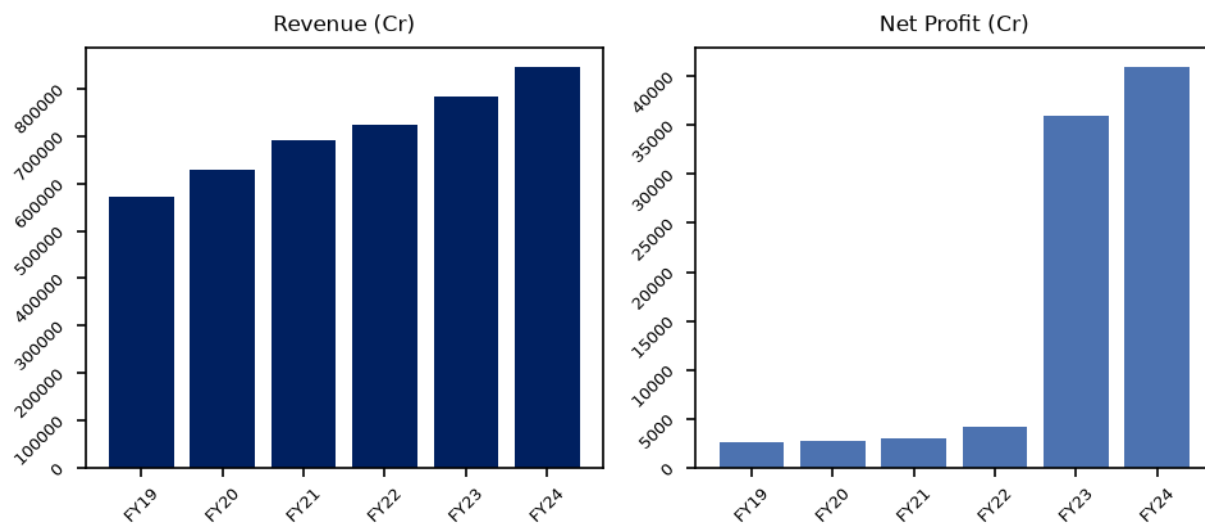
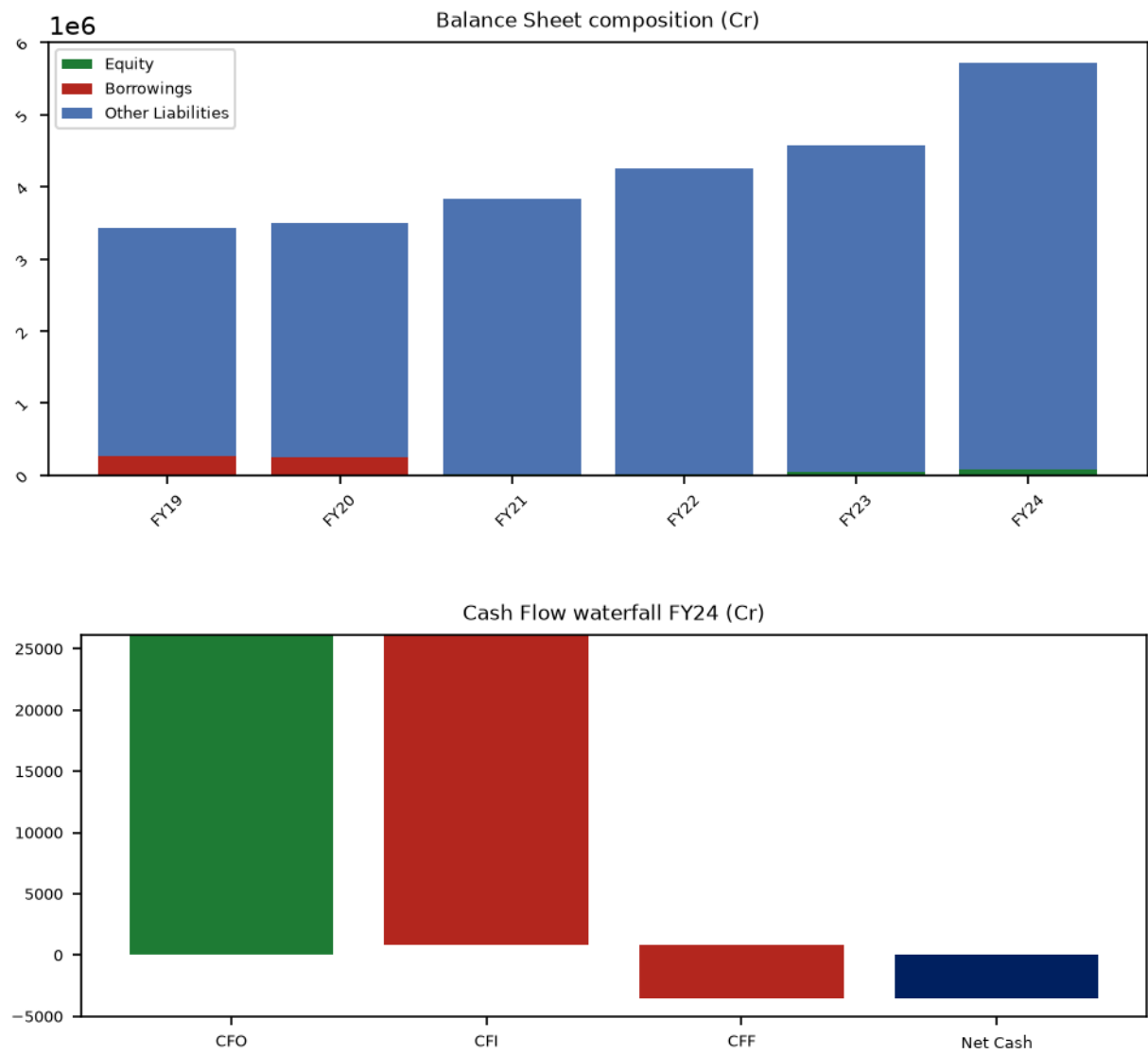


## Life Insurance Corporation of India (LICI) — Financials / Life Insurance

|                      |                             |                            |
|----------------------|-----------------------------|----------------------------|
| <b>49.4</b><br>ROE % | <b>39.1</b><br>ROCE %       | <b>4.8</b><br>Net Margin % |
| <b>0.0x</b><br>D/E   | <b>8.2</b><br>Rev CAGR 5Y % | <b>30.7</b><br>P/E         |



LICI — Balance Sheet & Cash Flow



Pros

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Consistent dividend yield above 2% backed by positive free cash flow
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- P/E of 30.7x at or below the Nifty 100 median of 46.2x implies market scepticism on earnings durability

Capital Allocation: Shareholder Returns & Reinvestment